

Currency & Economic System – Deep Hinglish Notes

1. Barter System (Adla-Badli Wala System)

Definition:

Barter system ek aisa system tha jisme log bina kisi paisa ya currency ke, ek cheez ke badle doosri cheez ka exchange karte the.

Example:

- 1 kg chicken 🐔 $\rightleftharpoons$ 2 kg rice 🍚
- 1 cow $\rightleftharpoons$ kuch aur valuable saman

Historical Reference:

- Ancient civilizations jaise Mesopotamia aur Indus Valley me bhi barter system tha.
- Egypt me grain banks hote the jahan log apne grains store karte aur unka exchange karte.

Problems with Barter System:

1. **Double coincidence of wants:** Dono parties ko ek dusre ki cheez chahiye honi chahiye.
2. **Divisibility:** Aap cow ko 5 part me kaise baantoge?
3. **Storage of value:** Sab cheezen long-term ke liye store nahi ki ja sakti (e.g., sabziyan kharaab ho jaati hain).
4. **Lack of common measure of value:** Kaise decide karoge ki ek cow kitne kg rice ke barabar hai?

Conclusion:

Barter system basic tha, lekin jaise-jaise society aur trade complex hoti gayi, ek standard medium of exchange ki zarurat padhi.

2. Currency System (Coins ka Zamana)

Introduction:

Barter ke problems solve karne ke liye coins aaye.

Types of Coins:

- **Gold Coins** – Sabse valuable (Royal use)
- **Silver Coins** – Public transactions
- **Copper (Tamba) Coins** – Daily market use

Origin:

- Sabse pehle coins **Lydia (Turkey)** me 600 BC ke around use hue.
- **India me punch-marked coins** Maurya Empire ke time popular hue.

Advantages:

1. Easily countable and divisible
 2. Durable (long-lasting)
 3. Recognizable and standardised
 4. Trusted and acceptable by all
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3. Paper Currency (Notes ka Jamaana)

Evolution:

- China ne sabse pehle paper money introduce kiya (Tang Dynasty).
- Europe me notes 1600s me aaye — initially gold ke against issue hote the.

Fiat Currency Concept:

- Aaj ke time me **fiat currency** hoti hai – jiska value **sirf government ke trust** par based hota hai.

"Yeh kagaz ka tukda hai, lekin pehle iske peeche gold hota tha. Aaj sirf sarkar ka vishwas hai."

Trust-Based System:

Public ne paper note ko accept kiya kyunki: - Uske peeche Raja ya Government ka vishwas tha. - Notes ko gold me exchange karne ka option hota tha (pehle ke time).

4. Global Currency System

Transition:

- England ne apni currency global level par spread ki.
- WWII ke baad Europe ki economy weak ho gayi.

Bretton Woods Agreement (1944):

- US Dollar ko duniya ke currency ke anchor ke roop me fix kiya gaya.
- 1 USD fix tha gold ke rate se: \$35 = 1 ounce gold
- Baaki desh ki currency USD ke rate se link thi.

Rise of US Dollar:

- US ke paas sabse zyada **Gold Reserves** the.

- Strong military + stable economy
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5. Oil Trade & US Dollar Dominance



Petrodollar System:

- 1970s me Saudi Arabia & OPEC countries ne decide kiya ki oil **sirf USD me** becha jaayega.
- Duniya ke sab countries ko USD chahiye tha oil import ke liye.



Impact:

1. USD demand globally badh gayi
 2. US easily trade deficit maintain karne laga
 3. IMF, World Bank bhi mostly USD based lending karte hain
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6. 2008 Global Economic Crisis



Causes:

- **Subprime mortgage crisis:** Low-credit score walon ko risky home loans diye gaye
- Real estate bubble phoot gaya
- Lehman Brothers bankrupt hua
- Bernie Madoff ne \$65B ka Ponzi scam kiya



Government Response:

- US ne **Quantitative Easing** start kiya (currency printing)
 - Bailouts diye banks ko
 - Stock market crash hua, recession aaya
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7. Lesson from Economic Crisis



Key Learnings:

1. Currency supply ko control me rakhna zaruri hai
 2. Centralized banking system pe complete depend na karo
 3. Diversification zaruri hai (crypto, gold, etc.)
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8. Currency Devaluation



What is it?

- Jab kisi country ki currency ki value international market me ghat jaaye.



Reasons:

- Import zyada, export kam
- Fiscal deficit
- Inflation
- Political instability



Example:

- 2000: 1 USD = 45 INR
- 2025: 1 USD = ~83 INR



Effects:

- Foreign goods mehngi
- Rupee me savings ki value kam
- Investment ka outflow



9. India & US Dollar ka Impact



Indian Scenario:

1. Foreign investment mostly USD me hoti hai
2. Dollar strong hone par INR weak ho jata hai
3. China cheap export karta hai to global market dominate karta hai



Example:

- India ka ek product 20 Rs me banta hai
- China wahi product 10 Rs me bana ke export karta hai
- Competitive advantage milta hai usko



10. Blockchain ka Mention



Introduction:

- Blockchain ka mention image me symbolic tha
- Future currency system ke roop me dekha ja raha hai



Blockchain Highlights:

- **Decentralized Ledger**
- **Transparent Transactions**
- **Limited Supply (e.g. 21 Million Bitcoin max)**
- **Immutable records (hack-proof)**

Blockchain vs Traditional Currency:

Feature	Traditional Currency	Blockchain/Crypto
Control	Centralized (Govt)	Decentralized (Public)
Supply	Unlimited printing	Fixed supply
Trust	Govt-based	Code-based
Inflation Risk	High	Low (if limited)

Summary Table (Quick Revision)

 Topic	 Key Point
Barter System	Ancient exchange system
Coins	Tangible value-based trade
Paper Currency	Trust-based fiat money
Global Currency	US Dollar dominant due to WW2, Bretton Woods
Oil Trade	Petrodollar system established
2008 Crisis	Housing bubble + bailout + currency printing
Currency Value	Demand-supply determines exchange rate
India & Dollar	Dollar movement directly affects INR
Blockchain	Trustless, secure, limited future currency tech

 **Note:** Yeh updated notes ab aur bhi zyada deep aur useful hain for students, UPSC aspirants, finance lovers, aur blockchain beginners. Agar aapko iska clean PDF chahiye ho, toh just say **"PDF banao"**.